



## ETHICS AND ECONOMICS OF INSTITUTIONAL GOVERNANCE Winter Term 2021/22, 1<sup>st</sup> Trial

- Please answer **all** questions. Maximum: **60 points**, time to answer the questions: **60 minutes**
- Permitted tools: *non*. In the case of cheating or deception, the exam will be graded as failed.
- Please answer in complete sentences, not bullet points. Indicate the problem number with your answers.

### Problem 1: Lecture 6 (literature, 30 points)

In his book “The Three Languages of Politics,” the economist Arnold Kling (2013, 2019) draws attention to political languages. His diagnosis: Certain semantics lead to tribalization. Please describe his argumentation by answering the following sub-questions.

- Arnold Kling distinguishes between three different tribal coalitions in his book. Please name each tribe (“language”) and describe the individual axes on which each tribe communicates. (6 points)
- What is your opinion to the following statement: Kling argues that one of the three languages is morally superior. As a result, only the morally superior language has a higher justification in the political discourse.  
Please explain why you agree or disagree with this statement. (6 points)
- Kling points out that political discourses cannot really be about winning the argument. He suggests to see politics as a common learning process, knowing that each camp has its justification. A way to increase the learning process is to put yourself in the shoes of the (other) tribes. Please put yourself in the shoes of all three tribes and explain what – according to Kling – the tribes (i) believe about humans, (ii) what they revere, (iii) what they think about markets, and what (iv) their highest virtue is. (12 points)
- How does Kling explain Donald Trump’s election victory in 2016? (6 points)

### Problem 2: Karl Marx and the labor market (lecture 12, 30 points)

Karl Marx and Friedrich Engels argue in the Communist Manifesto that workers are exploited. The two authors apply findings valid in goods market to the labor market. The Neo-classic analysis disagrees with the conclusion of the two authors. Please reconstruct the argumentation by answering the following sub-questions.

- Marx and Engels argue that because of competition between workers, the wage is always equal to the subsistence minimum. A worker who demands payment above the subsistence wage is displaced by an unemployed worker. As a result, companies are expropriating the value added as unpaid work. Please reconstruct Marx and Engels’ argument in an appropriate labour market diagram. What is the wage for the workers? Suppose there is an increase in demand. Who benefits from this increase and why? (12 points)
- The Neo-classic analysis shows that Marx and Engels made an important mistake in their analysis. They do not take into account that work is exhaustible. Thus, Marx and Engels do not see that work becomes a scarce factor in capitalism. Companies compete for workers. As a result, companies have to pay a wage that provides a large part of the added value of the production to the workers. Please reconstruct this situation as a social dilemma. Explain the strategies of the actors in this dilemma. Determine the ordinal payoffs as well as the outcome of this game. Is the situation Pareto-superior or Pareto-inferior for the involved actors? (12 points)
- Still today, the argument that workers are exploited dominates the public debate. As a solution, Germany introduced the minimum wage a few years ago. Many economists are skeptical about the minimum wage. Please briefly outline the economic objections to a minimum wage. Given these objections, can you think of a superior alternative to help workers? Please explain. (6 points)